

THE WALL STREET JOURNAL.

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What's News

Business & Finance

◆ **Dollar Tree** agreed to a sale of its Family Dollar business to a consortium of private-equity investors for roughly \$1 billion in an effort to unlock value. **B1**

◆ **Phillips 66** was expected to nominate two new directors to its board amid an intensifying proxy fight with activist investor Elliott. **B1**

◆ **Major U.S. stock indexes** fell, with the S&P 500, Nasdaq and Dow retreating 1%, 2% and 0.3%, respectively. **B11**

◆ **Delaware's governor** signed a law that will make it harder for shareholders to sue companies, in an attempt to quell threats by U.S. corporations to move their legal residences to other states. **B1**

◆ **Wall Street bonuses** surged last year on rising markets and a rebound in dealmaking, with the average payout gaining 31% to a record in data going back to 1990. **A1**

◆ **Anthropic and Databricks** struck a five-year, \$100 million pact to sell artificial-intelligence tools to businesses, aiming at those who want to build their own AI agents. **B3**

◆ **A U.S. court denied** an injunction brought by Universal Music and other record labels to prevent Anthropic from using copyrighted lyrics to train its AI models. **B3**

◆ **Imperial Brands** plans to increase its profit over the next few years by investing in the U.S. and its other major tobacco markets. **B3**

◆ **Activist investor Starboard** nominated its chief executive and two other people to take seats on the board of software-design maker Autodesk. **B3**

World-Wide

◆ **Defense Secretary** Pete Hegseth came under increasing scrutiny after more details emerged showing he posted plans of an imminent military strike against Houthi militants, including the timing and weapon systems, on an unclassified group chat used by senior administration officials. **A1, A4**

◆ **Trump said he would** impose 25% tariffs on global automotive imports to the U.S., making good on a pledge to impose duties on cars and trucks from other countries. **A1**

◆ **An appeals court** upheld an order that blocked the Trump administration from using a wartime law to deport alleged Venezuelan gang members on the same day Homeland Security Secretary Kristi Noem visited the prison in El Salvador where the migrants are held. **A5**

◆ **The Supreme Court** held that federal firearms laws cover so-called ghost guns, weapons assembled from kits that law enforcement says are becoming a preference for armed criminals. **A2**

◆ **Brazil's Supreme Court** ordered former President Jair Bolsonaro to go on trial for allegedly plotting a coup, dealing a blow to one of Trump's closest Latin American allies. **A6**

◆ **Immigration authorities** detained a Turkish graduate student at Tufts University, adding to the list of international students targeted by the Trump administration. **A5**

◆ **The U.S. government** will probably run out of money to pay its bills by August or September, the CBO said, in the first official estimate of when lawmakers will need to raise the debt limit. **A2**

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Deport Ban Upheld as Noem Visits El Salvador Jail



CENTER OF A STORM: Homeland Security Secretary Kristi Noem on Wednesday visited the jail in El Salvador where the U.S. has been sending Venezuelan migrants accused of being in gangs. An appeals court upheld an order blocking the deportations. **A5**

Hegseth Faces Rising Scrutiny Over Security Breach on Chat

Defense secretary defends himself as some Democrats call for him to resign

WASHINGTON—Defense Secretary Pete Hegseth came under increasing scrutiny after more details emerged Wednesday showing he posted plans of

By Michael R. Gordon, Nancy A. Youssef and Lindsay Wise

an imminent military strike against Houthi militants, including the timing and weapon systems, on an unclassified

group chat used by senior administration officials.

Several Democrats called for his resignation, saying Hegseth had flouted longstanding security procedures for handling sensitive military information. And the chairman and ranking member of the Senate Armed Services Committee called for the Pentagon inspector general to investigate the chat on an expedited basis.

"The information as published recently appears to me to be of such a sensitive nature that based on my knowledge, I would have wanted it classified," Sen. Roger Wicker (R., Miss.), who leads the committee, said. "If mistakes were

made...they should be acknowledged."

The new messages made public by the Atlantic magazine Wednesday showed Hegseth texted details to other senior administration officials about the specific times that F-18s, MQ-9 Reaper drones and Tomahawk cruise missiles would be used in the attack and mentions intelligence that an unnamed target of the strikes was at a "known location."

Such information is normally guarded carefully by the Pentagon before imminent strikes to avoid disclosures that could help adversaries.

Hegseth said Wednesday in Hawaii at the start of a trip to

the Pacific that the texts were routine updates to other top officials as the strike unfolded. It was the third day in a row that he had insisted he did nothing wrong. He didn't address using Signal to send details about the attack but denied the information was classified.

There are no "war plans. There is no units, no locations, no routes, no flight paths, no sources, no methods, no classified information," Hegseth said, referring to the texts.

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◆ **Trump's strategy for war chat fallout is attack.....** A4
◆ **An annotated analysis of the group chat.....** A4

President Sets 25% Tariffs on All Car Imports

Latest policy swing, taking effect April 3, gives no exemption to Canada, Mexico

By Gavin Bade and Christopher Otis

President Trump said he would impose 25% tariffs on global automotive imports to the U.S., making good on a pledge to impose duties on cars and trucks from other nations.

"What we're going to be doing is a 25% tariff on all cars not made in the U.S.," Trump said Wednesday in the Oval Office, appearing to dispel any chance of an exemption for countries like Canada and Mexico, which have a free-trade agreement with the U.S.

The U.S. will start collecting the auto tariffs on April 3, Trump said, the day after he is set to announce a broader slate of trade actions. Trump's so-called reciprocal tariffs, slated for that day, were originally planned to equalize U.S. tariffs with those charged by foreign nations, but Trump said Wednesday that the tariffs he plans to implement would likely be lower than that.

Canadian Prime Minister Mark Carney called the tariffs a direct attack on Canadian workers. He said Canadian officials would decide what actions to take, including possible retaliatory tariffs, after seeing the language of Trump's executive order.

"It's clear that this is a violation and he has betrayed our trade agreement," said Carney, who has just begun an election campaign that will culminate in an April 28 vote.

The tariffs will cover finished automobiles and automotive parts, a senior administration official said.

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INSIDE



PERSONAL JOURNAL
Copycat hotel websites look like chains' pages—but you won't snag a deal on prices. **A9**



BUSINESS & FINANCE
Dollar Tree to sell Family Dollar to private-equity investors for roughly \$1 billion. **B1**

Corporate Elation Over Trump Gives Way to Distress

CEOs and investors fret over what they see as whipsaw policy changes and complacency about the risks of recession

Rapturous applause and a sea of phones in the air greeted President Trump as he walked on stage and declared, "The golden age of America has officially begun."

By Nick Timiraos, Alex Leary and Chip Cutter

He was barely a month into office when the Saudi-backed investor conference in Miami captured the optimism. "The Nasdaq is up nearly 10% in just a few months," Trump said, ticking through a list of economic indicators.

"The Dow Jones Industrial Average is up 2,200 points." On the same day, Feb. 19, the S&P 500 hit an all-time high.

But as Trump unleashed an on-one-day, off-the-next tariff fight with America's largest trading partners, those gains unraveled.

In just a few weeks, the S&P lost \$4 trillion in value driven by his whipsaw trade policy, receding optimism about an artificial-intelligence boom and souring consumer sentiment caused by threats of higher prices and weaker growth. A measure of consumer sentiment fell in

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Wall Street Bonuses Rise 31%, But This Year's Outlook Dims

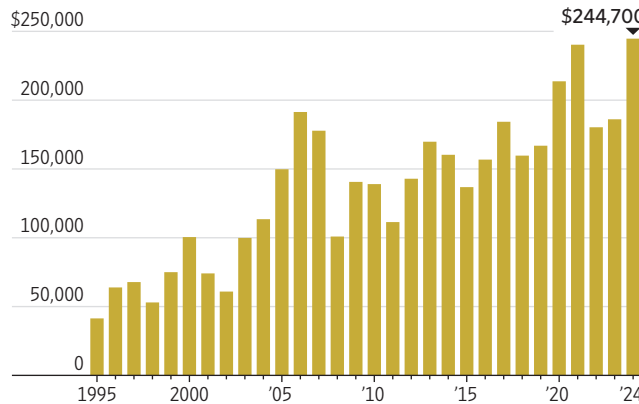
By KRISTAL HUR

Wall Street bonuses surged 31% last year on rising markets and a rebound in dealmaking activity, delivering a boon for the industry's hometown economy. Some are already wondering how long it is going to last.

The average bonus rose to a record \$244,700 last year, up from \$186,100, according to the New York state comptroller's office. Adjusted for inflation, it is the highest figure since 2021, before the Federal Reserve's interest-rate increases began to crimp dealmaking.

Banks, brokers and investment firms paid out bigger bonuses last year as the markets rallied and dealmaking began to recover from a two-year malaise. Optimism for the future also fueled their rise, and finance executives

Average Wall Street bonus



Note: Bonuses reflects cash payments and deferred compensation for which taxes have been withheld. Stock options and other forms of deferred compensation are not included. Source: Office of New York State Comptroller

began to bet that the uptick in activity would continue once President Trump returned to the White House.

There are early signs,

though, that 2025 might not play out as many bankers expected. The market's rally has faded, and signs of continuing

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The Ford Executive Who Kept Score of Colleagues' Verbal Flubs

Mike O'Brien kept a log of linguistic breaches; 'too many cooks in the soup'

By MIKE COLIAS

Mike O'Brien emailed a few hundred colleagues last month to announce his retirement after 32 years at Ford Motor. The sales executive's note included the obligatory career reflections and thank yous—but came with a twist.

Attached to the email was a spreadsheet detailing a few thousand violations committed by his co-workers over the years.

During a 2019 sales meeting to discuss a new vehicle launch, a colleague blurted out: "Let's not reinvent the ocean."

At another meeting, in 2016, someone started a sentence with: "I don't want to

sound like a broken drum here, but..."

For more than a decade, O'Brien kept a meticulous log of mixed metaphors and malaprops uttered in Ford meetings, from companywide gatherings to side conversations. It documents 2,229 linguistic breaches, including the quote, context, name of the perpetrator and color commentary.

After one colleague declared: "It's a huge task, but we're trying to get our arms and legs around it," O'Brien quipped: "Adding 'legs' into the mix makes it sound kinda kinky."

There is a leaderboard and a clear GOAT of verbal flubs. The list became so known—Please turn to page A10